POL-013

Private Banking KYC & Enhanced Due Diligence Policy

Private Banking & Wealth Management

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Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains the heightened due diligence standards in private banking — why we need to understand clients' wealth origins, how we handle politically exposed persons, and why relationship pressure must never override compliance standards.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

Contents

1. Introduction

Private banking clients typically hold significant wealth and often have complex financial arrangements spanning multiple jurisdictions. This creates both opportunity and risk. The opportunity is to provide genuinely valuable, personalised financial services. The risk is that complex wealth structures can be used to conceal the origins of funds or to evade obligations. This policy sets out the heightened standards KBC applies in private banking to manage that risk responsibly.

2. Who This Applies To

This policy applies to all KBC employees working in private banking and wealth management, including relationship managers, investment advisers, compliance staff, and operational teams supporting private banking accounts.

3. Why Private Banking Requires Heightened Diligence

Private banking is widely recognised as an area of elevated financial crime risk. High-net-worth individuals may have complex corporate structures, significant international exposure, and connections to political figures. Relationship managers sometimes develop close personal relationships with clients, which can create unconscious pressure to be less rigorous than the situation demands. KBC's private banking compliance standards are deliberately more stringent than our retail standards — not because we distrust our clients, but because the stakes are higher and the structures more complex.

4. Understanding Our Clients' Wealth

Before we accept a private banking client, we must understand where their wealth came from. Source of wealth documentation is not optional. Acceptable sources include: employment income supported by tax returns; business ownership documented by audited accounts; inheritance supported by legal documentation; and investment returns supported by portfolio statements from the originating institution. Wealth that cannot be documented is wealth we cannot accept.

> **What 'source of wealth' means in practice**
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> A client says their wealth comes from their successful technology business. We need to see: the company's audited accounts, evidence of the sale or dividend that generated the wealth, and confirmation that tax obligations have been met. 'They are a successful entrepreneur' is not sufficient due diligence — it is a starting point for asking the right questions.

5. Politically Exposed Persons

A Politically Exposed Person (PEP) is someone who holds or has held a senior public position — a politician, senior government official, military commander, supreme court judge, or head of a state-owned enterprise. Their immediate family members and close associates are also treated as PEPs. PEPs are not prohibited as clients. But they require enhanced due diligence, senior management approval, and more frequent relationship reviews, because people in positions of public power have greater opportunity to abuse that power for personal financial gain.

6. Ongoing Monitoring

Opening a private banking account with full due diligence is only the beginning. We must monitor these relationships continuously, watching for transactions that do not fit the client's profile, unexplained changes in their financial circumstances, or new connections to high-risk jurisdictions. High-risk clients are reviewed semi-annually; standard clients annually.

7. What to Do When Something Raises Concern

If a private banking client's activity raises concern — transactions that do not make sense, reluctance to provide documentation, connections to sanctioned parties — escalate immediately to the MLRO team. Do not resolve the situation independently. Do not tell the client you are reporting a concern.

8. Your Responsibilities

- Complete enhanced due diligence before opening or expanding private banking relationships.
- Obtain and maintain source of wealth documentation for all significant clients.
- Screen for PEP status at onboarding and review quarterly.
- Report concerns to the MLRO team immediately.
- Never allow relationship pressure to override compliance standards.

9. Getting Help

- **Group MLRO / Local MLRO** — for financial crime queries.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant AML regulatory developments.